

Final Assignment
Due date: June 23rd, 2026

1. Objective

The goal of this assignment is to develop your ability to think as a business economics researcher by:

- Formulating a clear and relevant research question in business.
- Identifying the underlying economic decision problem.
- Using microeconomic theory as a disciplined framework to structure the problem.
- Connecting theory to potential empirical evidence.

This is not a full research paper. The objective is to demonstrate your ability to structure a business problem using microeconomic tools.

The emphasis is on structuring the problem correctly, not on mathematical complexity.

2. General description

You are required to develop a short research proposal based on a topic of your interest (ideally related to your future thesis).

Your proposal must:

- Start from a business-related research question.
- Identify the underlying economic structure.
- Explicitly connect that structure to a microeconomic model or theoretical framework.

3. Structure of the written report (3-5 pages)

1. Research question: Clearly state a research question in a business context
2. Economic structure of the problem: Identify who the decision-makers are, what decisions are being made, and what the relevant constraints are. Explicitly describe the problem in economic terms (choice, trade-offs, incentives).
3. Microeconomic framework: Identify and justify a relevant microeconomic framework (e.g., consumer choice, firm behavior, expected utility, game theory,

market equilibrium, externalities). Then, clearly map the business problem into this framework, specify the objective function (utility, profit, payoff), and specify the constraints and key assumptions.

4. Theoretical implications: What does the chosen framework predict in this context? What relationships would you expect? What comparative statics or behavioral responses would the model imply?
5. Connection to data: What would you observe in the data? What variables would capture the key elements of the model? How could the predictions be empirically assessed? What variation in the data would allow you to test the model?
6. Limitations and extensions: What assumptions may be unrealistic in the business context? What behavioral or institutional factors are not captured? How could the framework be extended?

4. Final presentation

Each student will deliver an individual presentation.

- Duration: 12 – 15 minutes
- Focus on research question, economic structure, theoretical framework.

5. Evaluation criteria

1. Clarity and relevance of the research question (25%)
 - a. Clearly defined,
 - b. grounded in a business context,
 - c. well-motivated.
2. Identification of the economic structure (25%)
 - a. Clear identification of decision-makers, incentives, and constraints,
 - b. ability to translate a business problem into an economic problem.
3. Use of microeconomic theory (25%)
 - a. Appropriate choice of framework,
 - b. Correct application of concepts,
 - c. Internal coherence
4. Theory-data connection and critical thinking (25%)
 - a. Ability to derive testable implications,
 - b. Awareness of limitations,
 - c. Analytical depth.

Suggestion:

Your research question can come from any area in business.

What I expect from you is the ability to uncover the economic logic and structure behind it, and use microeconomic theory to make it analytically precise.

6. Use of generative AI

You may use generative AI tools (e.g., ChatGPT, Claude, or similar) as support for this assignment. However, their use must follow the guidelines below:

- Acceptable uses

You may use AI tools for:

- Clarifying concepts
- Improving writing and structure
- Brainstorming ideas
- Refining explanations.

- Not acceptable uses

You should not rely on AI to:

- Generate the full assignment
- Replace your own reasoning
- Provide answers that you do not fully understand.

- Transparency requirement

If you use generative AI, you must include a short disclosure at the end of your document:

“I used [tool name] to assist with [brief description of use]. All conceptual development and final content reflect my own understanding.”

Your work will be evaluated based on your ability to clearly explain and defend your reasoning.
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